BUSINESS DATA MANAGEMENT

Lecture14

Sales Techniques

Welcome back. And in this lecture, we will be learning, in this lecture series, in fact, we'll be learning more about the various steps involved in the professional B2B selling. Understanding of this is very much important to know how a business kind of functions, right? So before we go there, so the topic is seven. So the topic is seven steps of B2B professional selling.

Okay. So before we go there, I want to introduce something which is called sales techniques. Now, just to jog your memories to what we have already covered earlier, to sell, we need a minimum of two entities. You need a seller or a supplier if they're dealing with products. And if it is a service called as a service provider, if they are into services.

And on the right-hand side, You have a buyer, the buyer is also referred to as a customer. And if it is with services, we call them as clients. The arrow goes from the seller to the buyer and the seller sells offerings to the buyer, which should always be done at what we call as a product. Now there is something called a sales techniques before we go to the seven steps of B2B professional selling.

So sales techniques are the various techniques or they are the various techniques or the methods used by the salespeople to convince, persuade, or woo the customers to buy, right? So this is what sales techniques are all about. Now, there are various types of sales techniques, which I touched on briefly when we were discussing the difference between B2B and B2C. But let me now discuss the various types of sales techniques.

And whether it is B2B or B2C, you know, this is applicable in both cases. Specifically, I'll tell you which is more applicable in B2B and which is more applicable in B2C. The first thing is what we call direct selling. Now, what is this direct selling? You have a seller.

And the seller sells directly to the buyer, right? So this is what direct selling is. So you have the sales force of the company. The company is selling directly to the buyer or the customer. And this is what we call direct sales, right?

Direct sales is more prominent in B2B. Why is this the case? Because you have a smaller number of customers. And when you have a smaller number of customers, you do not need any intermediary or you do not need a larger supply chain so if you recollect the difference between B2B and B2C I said that in in B2B the supply chain is shorter whereas in B2C the supply chain is larger because you have many customers but this is also applicable in B2C so let's say that you have your business and you're selling directly to the consumer which is there but this is in B2B this direct selling is very very prominent it is there in B2C as well

The second type is what we refer to as indirect selling. The first one is direct selling and the second type is what we refer to as indirect selling. Now what is this indirect selling? The seller is connected to the buyer by means of an intermediary or an agent. So this is what we refer to as indirect selling.

So it's just that the seller is not directly selling to the customer. The seller is connected to the buyer by means of the agent and it is the agent that connects the seller to the buyer So this is also there in both B2B and B2C. You can think of Amazon as an intermediary as well, right?

Because when you place the orders on Amazon, you have these sellers and these sellers, it comes to Amazon. So it's a B2B2C transaction or if it's a business again, then it's a B2B2B transaction as well. Or I gave you the example of Caterpillar where Caterpillar manufactures it, they have their distributors and then it reaches to the customers, okay? So this is what we refer to as indirect selling. The third type of selling is what we refer to as wholesaling.

And what is this wholesaling? Wholesaling is typically a B2B one, right? So wholesaling is typically a B2B one. Now, what is this wholesaling? So if you look

at a typical supply chain, which I was just explaining to you, you have a manufacturer.

Manufacturer is also referred to as producers, right? Then you have distributors. Then you have wholesalers. And then wholesalers, then you have retailers, and then you have a customer, right? So this is how a typical supply chain looks like, right?

Now, why is this whole selling B2B? Whole selling is B2B because they either get it directly from the distributors, the quantity comes from the distributors, or let's say if there are no distributors, then it comes directly from the producer. And when I was discussing the difference between this B2B, B2C, and I was specifically mentioning about this, I said that I gave the example of this lady, right? Just a hypothetical example. Let's say that there's a company which makes water bottles.

They are the manufacturer. So let's call it as ABC, ABC. And they make this water bottle for 10 rupees, let's say. Now, how much do they make? Let's say that.

So why is this particular whole selling needed? And why is the supply chain larger, which is what I'm going to explain. But let's say that they make more than two lakhs of water bottles in a day. Now, what happens here is that this lot, more or less, is sent to a distributor. Now, distributors are those people who actually buy almost the entire volumes, right?

So let's say that there is one distributor, right? You can have many wholesalers as well, right? So there could be one or two distributors, let's say, in a state. For example, in Tamil Nadu, let's say that there could be two or three distributors. So what these distributors do is that the distributors buy in volumes, which means let's say that each distributor, let's say, bought around 65,000 approximately bottles, 65,000 water bottles.

Right. So 65,000 water bottles multiplied by three distributors. Right. So it's 2.05 lakhs. You can think of it.

Think of that as this thing. And then what happens is, so they are now when they sell it, the price is now actually 12. Right. So if you see, you know, the Bisleri little bottle that when you buy it, what you pay is 20 rupees and what it is actually sold at is 10 rupees. But did Bisleri or this ABC company make a profit of 10 rupees?

The answer is no. What happens is the chain is done in such a way that when it goes from one stage to the next, there is what is called a margin which has been kept. So they sell it for 12. And then what happens is you have wholesalers. Now, wholesalers are, again, those guys who buy it in volumes, but a volume is lesser compared to that of distributors.

Now, let's say that distributors, Tamil Nadu State, let's say, let's say in entire Chennai, there are three distributors. And these three distributors give it to, let's say, 10 different wholesalers in different, different locations, North, South, West, East, etc. So each of these wholesaling companies, they buy 6,000 bottles each, 6,000 bottles, 6,000 water bottles. Multiplied by let's say 10 or 11, right, approximately, right, to just make it easier I'll make it 66,000 so that it perfectly matches. Now what happens is they pass it to them. This is sold for let's say 14 rupees. Now, the job of the wholesaler is to give it to the different retailers.

You know, in Chennai, there are different zones. So let's say that the north zone as a wholesaler, their job is to cover the various retail shops in the north and it is being stocked. So the retailers buy, but the volumes are smaller. Let's say that there are, let's say, 15 retail outlets in the north of Chennai and then say each outlet roughly buys around, let's say each outlet roughly buys around 100 bottles. Right.

And now the price, let's say, is 16 rupees. Now the price, let's say, is 16 rupees. And then from the retailer, you know, you go to this Ocean or Reliance Fresh. These retailers are these outlets like Spencer's, Ocean, Reliance Fresh, etc. And then from there, where the customer buys, the customer pays.

So if you look at the profits, actually that this water bottle company, Bisleri or ABC, that they made, it is actually two rupees and not 10. So I kind of hope that this clarifies. Now you might ask me that, why is that the retailer to customer margin is higher? That is where the cost component comes in, right? Distributors tend to have a bigger inventory.

So that is what they just do. But what happens in retail stores is that there is space, you have this fixed cost, you have varying cost, you have to pay the rent, salaries, and many other things. And that is why the cost component kind of goes up, right? So this is what whole selling is all about. But whole selling typically is B2B because this is what we are specifically looking for, where the producers may give it to the whole sellers, or in some cases, in most of the cases, you could have a distributor also in between.

But just to understand the volume wise, so manufacturer, they make the whole volume. So manufacturer volume is always greater than, or let's say that equal to the distributor volume because they may have a higher volume because they make it, the volume is always more. So it's their choice whether they have to give entire to the distributor. Let's say if it is one day distributed is always equal to. The distributor volume will always be greater than the whole seller volume.

Distributor will have more stocking, right? whole seller volume. In order to avoid confusion, let's make this, let's assuming that there are many distributors. And then the whole seller volume, whole seller volume is always greater. whole seller volume is greater than what we call as a retailer's volume.

Retailer's volume, right? And this is the case. And then finally what happens is, Then finally, what happens is the retailer's volume is greater than the customer's volume. Obviously, as customers, we would not buy hundreds of bottles.

So, you know, this is how it goes. So I hope this kind of gives you an understanding of what whole selling is all about. Now, once that this is done, once this is done. So then we also have what we call as retail selling. Retail selling is, again, as you can see this.

Like your Reliance Fresh, Ocean, Carrefour, or, you know, Spencer's, et cetera. So these are into Kirana stores. These are into your retail selling. Then we also have something called as online selling. Now, what is online selling?

Where the selling is actually done online or the internet, right? For example, Amazon, Flipkart, these are all examples of what we call as online selling. And earlier, we used to also have door-to-door selling. Now, you know what happens in our country, India. I mean, now it's very, very rare, but, you know, people used to take the vegetables or, you know, the snacks that used to come.

We used to feel good about it, right? So they used to carry those heavy bags, come to your home, try to sell. That is what we call door-to-door selling, which is these days almost obsolete in cities. But I mean, in the villages, it still happens. Now, the question is, what technique should a company use?

Should the company use all these techniques? The answer is going back to the definition. You sell by data profit. So if you're doing, you know, what channel to use, if you're doing profits in all these mediums, it is always better to kind of use these channels as well. But if it is not doing, then you can decide what is to be done.

So one of the important things that I want to also indicate, which Dr. Aditya would also touch upon, is the difference between marketplace versus market space. So what is this marketplace? Marketplace is nothing but a physical place. So marketplace is nothing but a physical, it is the physical place, physical place where buyers and sellers meet, physical place, physical location where buyers and seller meet and negotiations do happen like your retail stores, Kirana, Sabzi Mandi, etc. So these are, this is what we call a

marketplace. And what is this market space? Market space is something where, you know, it is a virtual space wherein your buyer and seller are connected by means of technology. By means of technology. They meet over the online kind of mediums, right?

You know, Amazon, eBay, Flipkart, et cetera. So this is what we refer to as market space. I hope this video kind of gives you an understanding of what sales techniques is. So just to summarize, sales techniques is nothing but the method or the technique used by the sales organizations or the sales force to convince or persuade the customers to buy. And there are various types of sales techniques.

They start from direct selling, indirect selling, You have the seller sell directly to the buyer. For example, if you look at Airbus, the example that I gave, they have very few number of customers and they are geographically concentrated. The second one is what we refer to as indirect selling. The sellers and the buyer are not directly connected.

They are connected by means of an intermediary or an agent. The third thing is what we refer to as wholesaling. Again, it's a B2B kind of selling. Why is it B2B? Because a wholesaler is also a business.

And then you have retailer selling, online selling, et cetera, so on and so forth. So I hope this kind of clarifies and gives you a better understanding of sales techniques. And in the next video, we will discuss more about the seven steps of B2B professional selling. Look forward to meeting you in the next video.